

personal income tax will add Rs 10,000 crore to the disposable incomes of middle class Indians. Says Sanjay Sinha, CEO, DBS Cholamandalam Asset Management: "Removal of FBT and surcharge on personal taxes will result in public consumption remaining intact."

Higher allocation under NREGA and Bharat Nirman will put more money in the hands of rural consumers, which will directly benefit sectors like automobile and fast moving consumer goods (FMCG) and durables. A thriving rural market has helped the broad-based recovery of FMCG, which has grown by 19 per cent CAGR over the last three years compared to a measly 6 per cent during 2001-05. Budget 2009 has ensured that the

Budget **METER** Unravelling the sectoral outcome



BANKING

ANNOUNCEMENT: No change in shareholding pattern as government holding to remain intact at more than 51%. Government to infuse capital when required.

IMPACT: Status quo. No change.



INFRASTRUCTURE

ANNOUNCEMENT: Allocations to NHDP (roads) almost the same as in interim Budget. Allocation for (AIBP) irrigation up by 75%.

IMPACT: Positive for irrigation and construction companies.



POWER AND CAPITAL GOODS

ANNOUNCEMENT: Allocation for APDRP increased by 160% to Rs 2,080 crore.

IMPACT: Positive for power T&D and equipment companies. But allocation still not adequate.

"This was the first Budget of the new Government without the Left allies and yet no bold measures have been announced."



RAKESH JHUNJHUNWALA, Investor

"Increased outlay on roads and urban infrastructure under JNNURM will have positive impact on the automobile industry."



RAVI KANT, MD, Tata Motors

"The increased outlay on social infrastructure and reduction in tax burden may positively impact the demand for FMCGs."



HARSH MARIWALA, CMD, Marico

"What affected market sentiment was the increase in fiscal deficit target and the lack of announcements on disinvestment."



A. AMBANI, VP (Research), India Infoline

trend continues. Enam Securities expects FMCG earnings to grow at 18 per cent year-on-year during fiscal 2010, the highest in five years, due to margin expansion and lower input costs. Says Prateek Agarwal, head of Equity Investments at Bharti AXA IM: "The FMCG sector should benefit on account of the rural focus." Even the consumer durable companies will reap benefits from duty cuts.

But the biggest beneficiary has been the infrastructure sector because this Budget will ensure that the private sector is able to access monies for the projects. With infrastructure spending slated to touch 9 per cent of GDP by 2014, from 5.8 per cent this year, this sector is in the limelight. Be it the extension of

a tax holiday till March 2011 under Section 80-IA for power generation companies or increasing the allocation under the Accelerated Power Development and Reform Programme (APDRP) by 160 per cent to Rs 2,080 crore, power equipment manufacturers and transmission and distribution companies have got a booster.

However, what makes this a mixed-bag Budget are the unpleasant surprises. By increasing minimum alternate tax from 10 per cent to 15 per cent, companies which were enjoying a tax holiday on capital expenditure, will now be hit as increased outflows will impact profitability. Companies like Sterlite, Dabur, Allcargo, Concor, Gateway Distriparks, Sical and JSPL

may be affected as some units of these companies have been enjoying lower taxes under the scheme. Most of their earnings will be hit by 3-5 per cent, claim analysts.

A magnanimous Mukherjee may have left some of the big bang measures to other ministries for now, therefore, markets have discounted this Budget as a prelude to the real thing. Dalal Street is hoping that Mukherjee will set the roadmap of reforms in his next budget in 2010 or else the ambition of 9 per cent GDP growth may remain only on paper. Explains Ambani: "If he fails to focus on reforms next year then markets will plumb new depths next year." We hope Mukherjee's best is yet to come. ■